

ESTOPPEL AFFIDAVIT

(DEED IN LIEU OF FORECLOSURE)

DRAFT — NOT FOR USE. Must be reviewed and approved by a licensed Texas real estate attorney before use. Delivered only **after** default, at the time of conveyance. Confirm with the title company whether they require this instrument to be recorded alongside the Special Warranty Deed.

THE STATE OF TEXAS §

§

COUNTY OF {{COUNTY}} §

BEFORE ME, the undersigned authority, on this day personally appeared **{{AFFIANT_NAME}}**, known to me or proved to me to be the person whose name is subscribed below, who being by me first duly sworn, on oath deposed and stated as follows:

1. IDENTITY AND AUTHORITY

1.1 My name is **{{AFFIANT_NAME}}**. I am over eighteen years of age, of sound mind, and fully competent to make this affidavit. I have personal knowledge of the facts stated here, and every statement is true and correct.

1.2 I am the **{{AFFIANT_TITLE}}** of **{{BORROWER_ENTITY}}**, a **{{BORROWER_ENTITY_TYPE}}** ("**Borrower**"), and I am duly authorized to execute this affidavit and the Deed described below on Borrower's behalf.

1.3 Borrower is the owner of the real property described on **Exhibit A**, commonly known as **{{PROPERTY_ADDRESS}}** (the "**Property**").

2. THE LOAN AND THE DEFAULT

2.1 On **{{CLOSING_DATE}}**, Borrower borrowed **{{LOAN_AMOUNT}}** from **LAZY DOG CAPITAL LLC** ("**Lender**"), evidenced by a Promissory Note and secured by a Deed of Trust recorded as Instrument No. **{{DOT_INSTRUMENT_NO}}** in the Official Public Records of **{{COUNTY}}** County, Texas.

2.2 Borrower is in default under the loan documents. The total amount owed to Lender as of **{{SETTLEMENT_DATE}}** is **{{TOTAL_DEBT}}**. I have received and reviewed Lender's itemized statement of that amount, and I do not dispute it.

2.3 I understand that Lender has the right to accelerate the loan and to sell the Property at a non-judicial foreclosure sale under Texas Property Code § 51.002.

3. THE CONVEYANCE IS ABSOLUTE

3.1 Concurrently with this affidavit, Borrower is conveying the Property to Lender by Special Warranty Deed (the "**Deed**") in lieu of foreclosure.

3.2 The Deed is an absolute conveyance of all of Borrower's right, title, interest, and equity of redemption in the Property. It is given in good faith and for the consideration described in Section 4.

3.3 The Deed is NOT intended as a mortgage, deed of trust, trust conveyance, pledge, or security of any kind. It is not given to secure any debt or obligation, and it is not intended to create any right of redemption, right of repurchase, option, reversion, or continuing interest in favor of Borrower.

3.4 Following delivery of the Deed, Borrower retains no interest of any kind in the Property, legal or equitable, except the unsecured contractual right to a True-Up Payment under Section 4 of the Settlement and Release Agreement of even date. **That right is a personal contract right against Lender only. It is not a lien on, security interest in, or equitable interest in the Property.**

3.5 There is no agreement, oral or written, between Borrower and Lender other than the Settlement and Release Agreement and the documents delivered with it. No promise, representation, or inducement has been made to Borrower except as stated in those documents.

4. CONSIDERATION AND VOLUNTARINESS

4.1 The consideration Borrower is receiving for the Deed is stated in Section 2 of the Settlement and Release Agreement. Borrower has received that consideration, or Lender has become obligated to provide it.

4.2 Borrower is conveying the Property voluntarily. No coercion, duress, threat, misrepresentation, or undue influence has been exercised by Lender or anyone acting for Lender.

4.3 I understand that Borrower could instead allow the foreclosure sale to proceed, contest the default, seek other financing, sell the Property, or pursue other alternatives. Borrower has considered those alternatives and has chosen to convey the Property.

4.4 Borrower has had a full and adequate opportunity to consult legal counsel of Borrower's own choosing regarding the Deed, the Settlement and Release Agreement, and this affidavit. Borrower has either done so or has knowingly chosen not to.

4.5 Neither Lender nor anyone acting for Lender has given Borrower legal, tax, accounting, or financial advice, and Borrower has not relied on Lender for any such advice.

5. TITLE, LIENS AND CLAIMS

5.1 Borrower is the sole owner of the Property. No other person or entity holds or claims any ownership interest in it.

5.2 Except for the Deed of Trust in favor of Lender, current-year ad valorem taxes not yet due, and the items listed in **Schedule 1** to this affidavit, there are **no** liens, judgments, security interests, mortgages, mechanic's or materialman's liens, tax liens, assessments, encumbrances, easements, restrictions, leases, options, contracts for sale, or other claims against the Property.

5.3 Schedule 1 is complete. Borrower has listed every lien, claim, and potential claim known to Borrower, including any claim asserted or threatened by any contractor, subcontractor, laborer, materialman, or supplier who furnished labor or materials to the Property, whether or not a lien has been filed.

5.4 Borrower has received no notice under Chapter 53 of the Texas Property Code that is not listed on Schedule 1.

5.5 All contractors, subcontractors, laborers, materialmen, and suppliers who furnished labor or materials to the Property have been paid in full, except as listed on Schedule 1.

5.6 No work has been performed and no materials have been delivered to the Property within the past thirty (30) days that could give rise to a lien, except as listed on Schedule 1.

5.7 There is no pending or threatened litigation, arbitration, administrative proceeding, code enforcement action, condemnation proceeding, or governmental investigation affecting Borrower or the Property, except as listed on Schedule 1.

6. POSSESSION AND CONDITION

6.1 No person or entity is in possession of the Property or has any right to possession, other than Borrower, except as listed on Schedule 1. There are no leases, tenancies, occupancy agreements, or rental arrangements affecting the Property.

6.2 Borrower is delivering possession of the Property to Lender, together with all keys, access codes, lockbox combinations, plans, specifications, permits, and construction documents.

6.3 Borrower has not removed and will not remove any fixture, appliance, building material, or improvement from the Property, and has not committed and will not commit waste or intentional damage.

6.4 Borrower has disclosed to Lender all material defects in the Property known to Borrower, including any structural, mechanical, electrical, plumbing, roofing, foundation, mold, or environmental condition, and all known code violations, permit deficiencies, stop-work orders, and unpermitted work.

6.5 To Borrower's knowledge, no hazardous substance has been generated, stored, released, or disposed of on the Property in violation of any environmental law.

7. NO BANKRUPTCY OR CREDITOR ACTION

7.1 Borrower has not filed, and no petition has been filed against Borrower, under the United States Bankruptcy Code. Borrower is not contemplating and has no present intent to file any such petition, and no creditor has threatened an involuntary filing against Borrower.

7.2 Borrower has not made any assignment for the benefit of creditors, and no receiver, trustee, or custodian has been appointed for Borrower or for any material part of Borrower's assets.

7.3 Borrower is not conveying the Property with any intent to hinder, delay, or defraud any creditor of Borrower.

7.4 Borrower has disclosed to Lender, on Schedule 1, all creditors of Borrower holding claims relating to the Property.

8. BUSINESS PURPOSE AND NON-HOMESTEAD

8.1 The loan was made and used solely for business and commercial purposes. No part of it was used for personal, family, or household purposes.

8.2 The Property is not, has never been, and was not intended to be the business or residential homestead of Borrower, of any member, manager, officer, or principal of Borrower, or of any Guarantor. No such person has ever resided at, claimed, or used the Property as a homestead, and no such person claims any homestead right in it.

8.3 Each such person maintains a homestead at an address other than the Property.

9. RELIANCE

9.1 This affidavit is made to induce Lender to accept the Deed in lieu of proceeding to foreclosure, and to induce **{{TITLE_COMPANY}}** and its underwriter to insure title to the Property.

9.2 Borrower understands that Lender and the title company are relying on every statement in this affidavit, and that they would not accept the Deed or insure title without it.

9.3 Borrower will indemnify and hold harmless Lender and the title company from any loss, damage, claim, or expense, including attorneys' fees, arising from any statement in this affidavit being untrue or incomplete.

9.4 The statements in this affidavit survive the delivery and recording of the Deed.

FURTHER AFFIANT SAYETH NOT.

{{AFFIANT_NAME}}

{{AFFIANT_TITLE}} of {{BORROWER_ENTITY}}

SUBSCRIBED AND SWORN TO before me by the said {{AFFIANT_NAME}} on this ____ day of _____, 20____.

Notary Public, State of Texas

My commission expires: _____

(Notary seal)

SCHEDULE 1

DISCLOSED LIENS, CLAIMS, CREDITORS, PROCEEDINGS AND OCCUPANTS

Complete every section. Write "NONE" where nothing applies. Do not leave any section blank.

A. Liens, judgments, and encumbrances of record

CLAIMANT	TYPE	AMOUNT	RECORDING / INSTRUMENT NO.

B. Unpaid contractors, subcontractors, laborers, materialmen and suppliers *(filed or not)*

NAME	WORK OR MATERIALS FURNISHED	AMOUNT OWED	LIEN FILED?	NOTICE RECEIVED?

C. Chapter 53 notices received

FROM	DATE RECEIVED	AMOUNT CLAIMED

D. Pending or threatened litigation, code enforcement, or governmental action

MATTER	PARTY	STATUS

E. Occupants, leases, or possession rights

NAME	BASIS OF POSSESSION	TERM

F. Other creditors holding claims relating to the Property

CREDITOR	NATURE OF CLAIM	AMOUNT

Exhibit A — Legal Description *(verbatim from title commitment Schedule A)*

Lazy Dog Capital LLC · 3400 N Central Expy #110-217, Richardson, TX 75080 · 214-740-4989

TOKENS

{{COUNTY}} · {{AFFIANT_NAME}} · {{AFFIANT_TITLE}} · {{BORROWER_ENTITY}} ·
{{BORROWER_ENTITY_TYPE}} · {{PROPERTY_ADDRESS}} · {{CLOSING_DATE}} ·
{{LOAN_AMOUNT}} · {{DOT_INSTRUMENT_NO}} · {{SETTLEMENT_DATE}} · {{TOTAL_DEBT}} ·
{{TITLE_COMPANY}}

New tokens not yet in the closing merge set: {{AFFIANT_NAME}} · {{AFFIANT_TITLE}} ·
{{TITLE_COMPANY}} · {{DOT_INSTRUMENT_NO}} · {{TOTAL_DEBT}} · {{SETTLEMENT_DATE}}